

ExxonMobil ESG Assessment

Executive Summary

ExxonMobil is one of the world's largest integrated energy companies, operating across oil and gas production, refining, petrochemicals, LNG, and emerging low-carbon technologies. As a result, the company's ESG profile is heavily shaped by climate change, greenhouse gas emissions, energy transition risks, and the governance challenges associated with balancing long-term decarbonization ambitions with continued fossil-fuel expansion.

The company's disclosures demonstrate significant progress in operational emissions management. ExxonMobil reports substantial reductions in methane intensity, flaring intensity, and greenhouse gas emissions intensity, achieving several of its 2030 emissions-reduction targets well ahead of schedule. Climate-related initiatives include carbon capture and storage (CCS), hydrogen development, low-emission fuels, advanced recycling technologies, methane monitoring systems, and electrification of equipment.

From a governance perspective, ExxonMobil maintains a highly institutionalized oversight structure characterized by an independent Board, active committee oversight, robust enterprise risk management systems, and dedicated environmental governance mechanisms. Climate, emissions, sustainability, and public policy issues receive direct Board-level attention through the Environment, Safety and Public Policy Committee, while risk management and cybersecurity oversight are integrated throughout corporate governance processes.

Socially, ExxonMobil demonstrates strengths in workforce development, employee retention, diversity of nationality representation, health and safety culture, and community engagement. Employees remain with the company for unusually long periods, reflecting a strong emphasis on career development, talent retention, and long-term employment opportunities.

Despite these strengths, ExxonMobil continues to face considerable ESG challenges. Its net-zero ambition applies only to operated Scope 1 and Scope 2 emissions and does not cover Scope 3 emissions generated throughout the value chain. This limitation remains a major area of criticism from investors, activists, and environmental organizations. Furthermore, the company continues to expand core oil and gas operations, creating ongoing tension between decarbonization commitments and hydrocarbon growth strategies.

Overall, ExxonMobil demonstrates meaningful progress in managing operational emissions and developing lower-carbon technologies. However, continued dependence on fossil-fuel production, the exclusion of Scope 3 emissions from its net-zero

ambition, and recurring climate-governance controversies constrain the overall assessment of ESG performance.

Company Overview

ExxonMobil is a global energy company engaged in the exploration, production, refining, transportation, and marketing of oil and natural gas products, as well as chemical manufacturing and low-carbon technology development. The company's business model remains primarily centered on hydrocarbons, although increasing resources are being directed toward emissions-reduction initiatives and lower-carbon business opportunities.

At the end of 2025, the company employed approximately 58,000 regular employees worldwide. Operations span multiple geographic regions and involve extensive relationships with governments, customers, suppliers, contractors, and industry organizations. ExxonMobil reports that more than 59% of employees are located outside the United States, representing over 160 nationalities across the global workforce.

Given the nature of its business, climate change and emissions management dominate ExxonMobil's ESG profile. The company's sustainability strategy therefore focuses heavily on reducing operational emissions intensity while simultaneously maintaining energy production capacity and developing technologies intended to support lower-emission energy systems.

Environmental Assessment

Climate Change and Greenhouse Gas Emissions

Climate change represents the most material environmental issue facing ExxonMobil. As one of the world's largest energy producers, the company's operations generate substantial greenhouse gas emissions and are increasingly subject to investor scrutiny, regulatory pressure, and climate-related litigation.

ExxonMobil defines Scope 1 emissions as direct greenhouse gas emissions from its operations and Scope 2 emissions as indirect emissions resulting from purchased energy. Scope 3 emissions are defined as emissions produced throughout the company's broader value chain. The company's long-term climate ambition is to achieve net-zero operated Scope 1 and Scope 2 emissions by 2050, subject to technological advancement and supportive policy environments.

The company reports measurable progress in reducing operational emissions intensity. Operated methane intensity has declined by more than 60% compared with 2016 levels. Corporate-wide greenhouse gas intensity has been reduced by 20–30%, while

upstream greenhouse gas intensity has declined by 40–50%. ExxonMobil reports that several 2030 emissions-reduction objectives had already been achieved by the end of 2025, including corporate and upstream greenhouse gas intensity targets as well as corporate flaring-intensity reduction goals.

The company expects to achieve its corporate methane-intensity-reduction target in 2026, ahead of the original 2030 timeline.

ExxonMobil's transition strategy focuses primarily on operational efficiency improvements and technology deployment. Key initiatives include methane monitoring technologies, elimination of routine flaring, carbon capture and storage, equipment electrification, lower-emission fuels, and improvements in operational energy efficiency. The company states that actions necessary to achieve emissions-reduction plans are incorporated directly into medium-term business plans, suggesting that climate initiatives are integrated into operational decision-making rather than managed separately.

The environmental strategy demonstrates significant emphasis on reducing the emissions intensity of operations. However, the decision to exclude Scope 3 emissions from the company's net-zero ambition remains a major source of controversy. Since Scope 3 emissions constitute the majority of lifecycle emissions associated with oil and gas products, stakeholders continue to question whether the current strategy adequately addresses the full climate impact of the company's business model.

Consequently, ExxonMobil's climate performance reflects a combination of meaningful operational progress and continuing debate regarding the adequacy of its long-term transition strategy.

Energy Management

Energy demand assumptions play a significant role in ExxonMobil's strategic outlook. The company projects that developing countries may consume approximately 25% more energy by 2050 compared with 2024 while global electricity demand could increase by approximately 70%.

Within this context, ExxonMobil continues to position itself as both an energy producer and a developer of lower-emission technologies. Investments are being directed toward carbon capture and storage, hydrogen production, lower-emission fuels, and low-carbon power opportunities.

The company also reports efforts to improve energy efficiency throughout its operations through enhanced maintenance practices, process optimization, improved facility design, and electrification of equipment. ExxonMobil further identifies low-carbon electricity opportunities, including the supply of lower-carbon power to rapidly growing energy users such as data centers.

While these initiatives support emissions-reduction objectives, they operate alongside a broader corporate strategy that continues to prioritize oil and gas production growth. As a result, energy management efforts are best viewed as mitigation measures within an evolving hydrocarbon business model rather than a fundamental shift away from fossil-fuel production.

Water Resources

Water stewardship receives relatively limited attention within the supplied materials. No detailed quantitative disclosures are provided regarding water withdrawals, water consumption, reduction targets, or basin-specific water risks.

Similarly, no dedicated water strategy, water-governance framework, or water-efficiency programme is described in detail.

As a result, while water undoubtedly represents an operational issue for many of ExxonMobil's activities, particularly in upstream production and refining, the available information does not allow for a comprehensive evaluation of water-management performance.

Waste and Pollution

ExxonMobil's pollution-management approach is largely framed through emissions reduction, methane management, flaring elimination, and emerging circular-economy initiatives.

A notable initiative involves the use of plastic waste as feedstock for advanced recycling technologies, reflecting an effort to address waste management challenges through technological innovation. The company also highlights its ownership of the largest owned and operated carbon dioxide pipeline and storage network as part of broader efforts to reduce emissions and manage carbon more effectively.

Pollution-prevention activities focus primarily on reducing methane releases, eliminating routine flaring, improving emissions monitoring, and deploying carbon capture technologies. These efforts have contributed to substantial reductions in methane and flaring intensity over recent years.

Although the company demonstrates operational progress in emissions-related pollution management, disclosures regarding waste generation volumes, recycling outcomes, hazardous waste handling, and broader pollution indicators remain limited.

Biodiversity and Nature

Compared with climate-related topics, biodiversity receives relatively little attention within the company's environmental disclosures.

The available materials do not describe a dedicated biodiversity strategy, habitat restoration programme, ecosystem-management framework, or deforestation commitment. Likewise, no measurable biodiversity targets or natural-capital indicators are disclosed.

This absence does not necessarily imply a lack of activity in these areas; however, environmental reporting remains overwhelmingly focused on emissions management and climate-related technologies. Consequently, biodiversity and nature-related impacts appear secondary to climate objectives within ExxonMobil's reported environmental strategy.

Sustainable Sourcing and Supply Chain Management

Given the scale of ExxonMobil's operations, supply chain resilience and supplier relationships are strategically important. The company maintains business relationships with thousands of suppliers and service providers worldwide.

Environmental risk management within the supply chain appears focused primarily on operational continuity, geopolitical risks, and emissions measurement methodologies. ExxonMobil references industry frameworks such as API and Ipieca to support emissions reporting and measurement practices.

However, little information is provided regarding environmental supplier screening, traceability systems, supplier environmental audits, or detailed responsible-sourcing requirements. Consequently, assessment of environmental oversight beyond the company's direct operational boundaries remains limited.

Environmental Strengths

ExxonMobil's strongest environmental achievements relate to operational emissions management and technology development.

Several emissions-reduction targets have been achieved ahead of schedule, including reductions in greenhouse gas intensity and flaring intensity. Significant progress in reducing methane emissions further demonstrates operational improvements within core business activities.

The company has also invested heavily in lower-carbon technologies, including carbon capture and storage, hydrogen, advanced recycling, and lower-emission fuels. Through its Low Carbon Solutions business, ExxonMobil positions these technologies as important contributors to long-term climate objectives and future business growth.

The combination of measurable operational improvements and substantial investment in lower-carbon technologies indicates that environmental efforts extend beyond public commitments and are being implemented through tangible projects and operational initiatives.

Environmental Risks and Controversies

Despite measurable progress, ExxonMobil remains at the center of ongoing climate-related controversies.

One of the most significant governance and environmental disputes involved litigation against activist shareholders who submitted climate-related proposals seeking stronger emissions commitments. ExxonMobil characterized the dispute as a governance matter concerning shareholder proposal processes, while critics argued that it reflected resistance to greater climate accountability.

Investor and NGO criticism has been particularly focused on the exclusion of Scope 3 emissions from the company's net-zero ambition. Stakeholders argue that a climate strategy that does not address emissions generated from the use of ExxonMobil's products fails to fully account for the company's environmental impact.

The company has responded by emphasizing its support for emissions reductions while defending its governance decisions and highlighting measurable progress in methane reduction, flaring reduction, emissions intensity improvements, and lower-carbon technology deployment.

The controversy therefore centers less on whether ExxonMobil is reducing operational emissions and more on whether the scope and ambition of those commitments are sufficient given the scale of its fossil-fuel business.

Social Assessment

Workforce and Human Capital

ExxonMobil's social profile is strongly influenced by the scale, diversity, and longevity of its workforce. At the end of 2025, the company employed approximately 58,000 regular employees globally. More than 59% of employees were located outside the United States, and the workforce represented over 160 nationalities.

One of the most notable characteristics of ExxonMobil's workforce is employee retention. The company reports an average career length of approximately 30 years, suggesting a strong ability to attract, develop, and retain talent over long periods.

Talent development begins during recruitment and continues throughout employees' careers via structured training programmes, job experiences, and ongoing professional development opportunities. ExxonMobil emphasizes meritocracy, career growth, and long-term employability as central elements of its workforce strategy.

Health, Safety and Employee Wellbeing

Health and safety remain fundamental priorities given the industrial nature of the company's operations. ExxonMobil reports the use of rigorous management systems designed to support workplace safety, environmental protection, and risk management.

Significant environmental expenditures and remediation liabilities demonstrate continuing investment in operational responsibility and environmental protection. The company spent approximately \$7.6 billion on environmental expenditures during 2025 and expects that figure to increase further in subsequent years.

Safety culture is consistently emphasized throughout workforce management and operational oversight systems, reflecting the importance of risk management within the energy sector.

Diversity, Equity and Inclusion

ExxonMobil reports a globally diverse workforce and encourages diversity of thought, perspectives, and experiences. Employees originate from more than 160 nationalities, and international representation forms a significant part of the company's workforce profile.

The company emphasizes equal opportunity through merit-based career development and long-term professional growth. While detailed demographic disclosures are limited, workforce diversity and talent development remain key themes throughout employee-related disclosures.

Human Rights and Community Impact

ExxonMobil provides multiple reporting mechanisms through which employees can raise concerns, including anonymous reporting channels and protections against retaliation. Alleged violations involving senior leadership or financial controls are escalated through formal governance procedures.

The company also demonstrates visible community engagement through philanthropic and economic-development initiatives. Community programmes receive substantial organizational support, and economic-development activities appear to represent a significant component of social investment efforts.

Although detailed human rights disclosures regarding modern slavery, indigenous rights, or forced-labour prevention are limited within the supplied materials, available information suggests an emphasis on employee protections, grievance mechanisms, and ethical conduct.

Social Assessment

Overall, ExxonMobil demonstrates strong performance in workforce management, employee retention, talent development, safety culture, and community engagement. The company's long employee tenure, global workforce diversity, and extensive career-

development systems represent notable strengths. However, greater transparency regarding supply-chain labour practices, diversity outcomes, and broader human-rights management would strengthen confidence in performance beyond direct operations.

Governance Assessment

ExxonMobil maintains a highly structured governance framework characterized by independent oversight, extensive committee structures, established risk-management systems, and significant Board involvement in climate-related matters.

The Board of Directors exercises oversight of strategy, risk management, investor engagement, succession planning, and executive performance. The company reports that all non-employee directors are independent and that key committees are composed entirely of independent members. Board engagement appears active, with ten Board meetings held during 2025 and average attendance of approximately 97%.

Climate and environmental oversight are embedded directly within governance structures through the Environment, Safety and Public Policy Committee. This committee is responsible for overseeing environmental issues, climate strategy, emissions performance, sustainability matters, and related public-policy considerations.

ExxonMobil has also integrated climate planning into business processes. Actions necessary to achieve emissions-reduction objectives are incorporated into medium-term business plans, and Board-level discussions include climate science, policy developments, and long-term transition planning.

Risk management systems appear particularly robust. Enterprise risk management incorporates cybersecurity, internal controls, climate considerations, and operational risks. Internal control effectiveness is independently audited, and the Audit Committee maintains oversight of financial reporting, cybersecurity, and risk management processes.

The company's ethics and compliance framework includes annual Code of Conduct certification requirements, conflict-of-interest policies, whistleblower protections, and formal investigation procedures. Employees are provided with multiple channels through which concerns may be reported anonymously and without fear of retaliation.

The most significant governance controversy relates to climate governance and shareholder engagement. ExxonMobil's legal dispute with activist investors over climate-related proposals generated criticism from investors and governance observers who argued that shareholders should have greater influence over climate strategy. ExxonMobil maintained that the matter involved governance processes rather than opposition to climate action.

Another notable governance issue concerns alignment between sustainability commitments and executive remuneration. While the company discloses extensive climate targets and emissions-reduction achievements, compensation metrics remain primarily financial and operational. As a result, a direct connection between ESG performance and executive compensation is less evident than in some peer organizations.

Governance Assessment

ExxonMobil demonstrates strong governance structures, active Board oversight, rigorous risk management systems, and significant climate-governance integration. Oversight mechanisms appear comprehensive and well institutionalized. However, ongoing tensions regarding climate accountability, shareholder engagement, and the limited integration of ESG metrics into executive compensation continue to influence the broader governance assessment.

Overall ESG Assessment

ExxonMobil demonstrates a mature governance framework, meaningful operational emissions-reduction progress, and strong workforce-management practices. Significant investments in carbon capture, hydrogen, advanced recycling, and lower-emission technologies indicate a serious effort to improve environmental performance within existing business operations.

At the same time, the company remains fundamentally dependent on oil and gas production, and its climate strategy does not currently extend to full value-chain emissions. This limitation remains the most significant challenge affecting the company's environmental credibility and ESG profile.

The strongest aspects of performance are governance quality, operational emissions management, employee development, and technology-driven emissions reduction initiatives. The most significant ESG risks remain climate-transition exposure, continued fossil-fuel expansion, Scope 3 emissions exclusion, and ongoing scrutiny from investors and environmental stakeholders.

Overall, ExxonMobil can be assessed as demonstrating **moderate ESG performance**: strong governance systems and measurable operational emissions improvements, but continuing structural dependence on hydrocarbon production and an environmental strategy that remains only partially aligned with full value-chain decarbonization expectations.